Bayan Sulu: How the Company Orders Imported Cocoa, Now and in the Future

Weekly Record 5 · Operations Management · Assel Saginayeva · Feeds A2 (Fields 3–5) and Capstone Section 5a

The process

This report maps one process at Bayan Sulu: **ordering imported cocoa**. The process starts with the sales plan and ends when the cocoa reaches the production line.

In Weekly Record 5, I found that Bayan Sulu's main weak point is at the start of its supply chain. Flour comes from farms near the factory in Kostanay. Cocoa, however, comes from abroad. It is paid for in foreign currency, and it takes several weeks to arrive.

The company's new factory, the “Confectionery Capital”, adds 16,600 tonnes of production a year. Also, 45% of sales in 2025 were exports. This means that the company needs more cocoa, and it is harder to predict how much. If cocoa ordering goes wrong, production lines stop, or too much money is spent on stock that just sits in the warehouse.

> **What the evidence shows.** Public sources confirm these facts. Bayan Sulu makes more than 300 products and can produce 85,000 tonnes a year. It chooses suppliers through competition. It has its own accredited laboratory that tests ingredients when they arrive, and it follows food safety standards (HACCP and ISO 22000). Its 2024 annual report lists changes in raw material prices and exchange rates as risks. When Russian suppliers could not deliver packaging, the company quickly switched to a Turkish supplier, Yilpar (Forbes Kazakhstan). However, Bayan Sulu does not publish how it plans production or which computer system it uses. For this reason, the *current state* below is my own reconstruction, based on Chapter 10 and the facts above. All the numbers I suggest (21 days, 30–60 days, 7 days, 30%) are proposals that should be tested in a pilot.

Current state

At the moment, Bayan Sulu most likely plans demand once a month. A planner then calculates by hand how much cocoa is needed. Because imported cocoa takes several weeks to arrive, each order is based on a plan that may already be a month old.

If demand suddenly grows in the middle of the month, for example because of a large export order or the gift-box season, nobody notices until the next monthly plan. The company then has to place a rush order at a higher price and pay for fast delivery. If the cocoa still does not arrive in time, a production line stops or has to switch to another product.

Bottleneck: the monthly step where a person turns the sales plan into a cocoa order by hand. This step is slower than the changes in demand, and it depends on one person and one spreadsheet. (See Figure 1 on the next page.)

Figure 1. Current state: how Bayan Sulu orders imported cocoa today

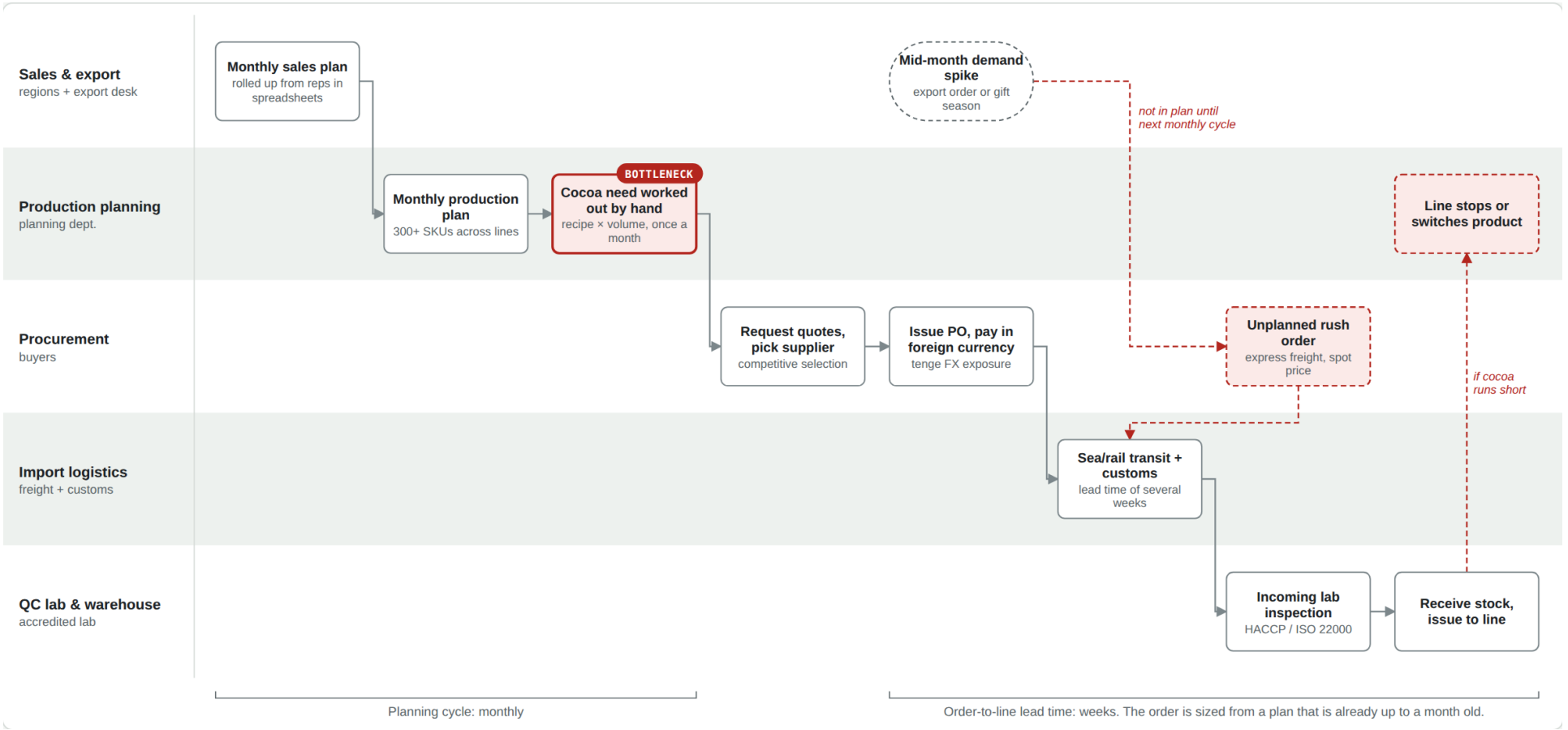
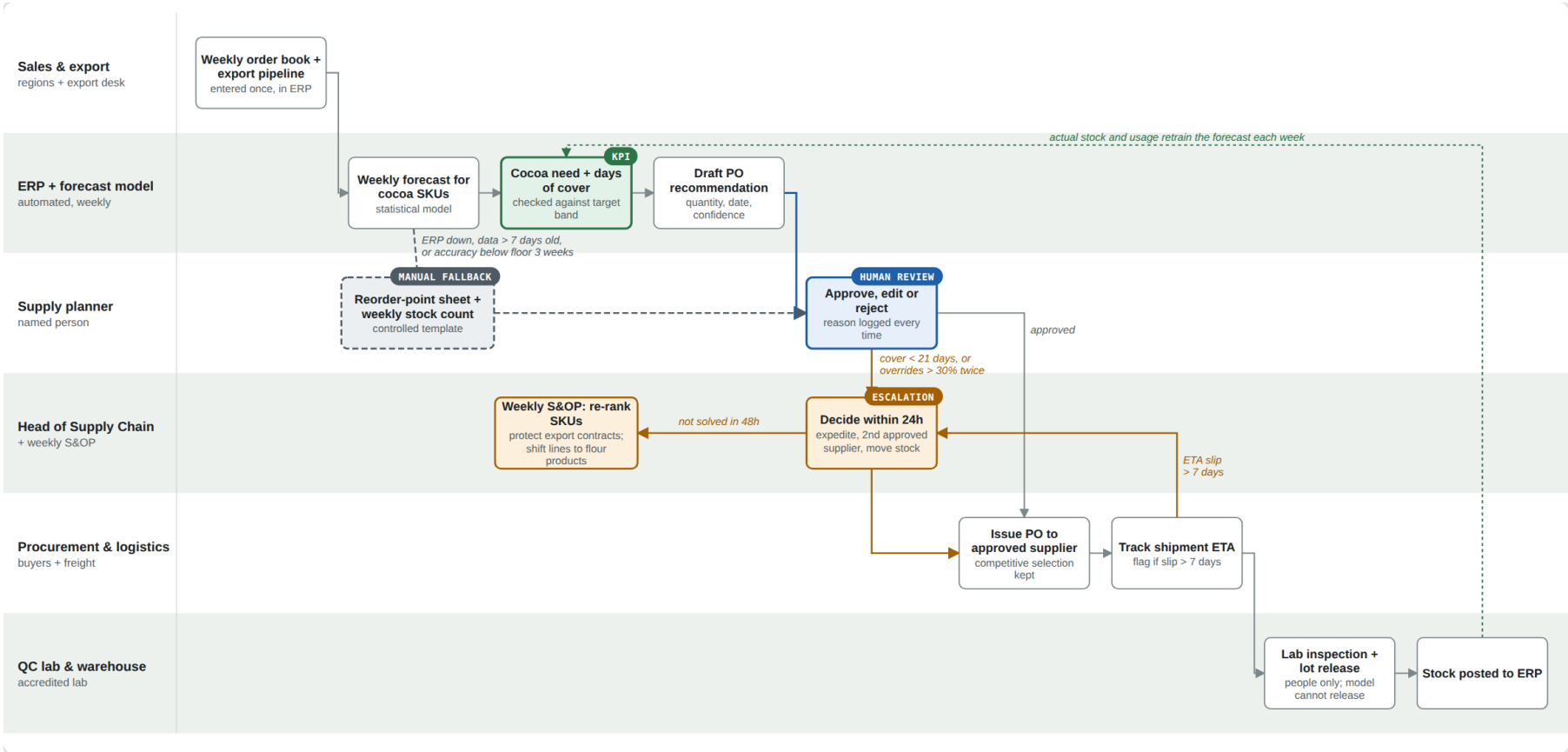


Figure 2. Future state, with a KPI, a human review point, an escalation path and a manual fallback



Green = where the KPI is measured · Blue = human review point · Orange = escalation path · Grey dashed line = manual fallback. The computer system only suggests orders. It never sends them, and it cannot approve ingredients for use. Only laboratory staff can do that.

Future state

In the future state, the company's ERP system (one computer system that connects sales, buying and production) and a forecasting tool work every week. Together, they suggest how much cocoa to order. A named supply planner then decides whether the order should be sent. People still do the buying, the customs work and the quality checks.

The new process has four controls: a KPI that is checked every week, a human review before any money is spent, a clear escalation path with time limits, and a manual backup plan that staff practise regularly.

KPI: how many days of cocoa stock the company has

Target: in at least 90% of weeks, the company has enough cocoa for 30–60 days.

- This KPI shows both kinds of problems. If stock falls below 30 days, production is at risk. If it goes above 60 days, too much money is tied up in cocoa bought in foreign currency.
- Safety rule: no production hours should be lost because of a lack of cocoa.
- Forecast check: the size of the forecast error 8 weeks ahead. If the error is too high, the team switches to the manual backup.
- The starting level (baseline) will be measured during the 8-week pilot.

Human review point: the supply planner approves every order

- During the pilot, the planner checks every suggested purchase order.
- After the pilot, a check is required only when the order is above a set value, the forecast changes by more than 20% in one week, the system is not confident, or the product or factory is new.
- The planner can approve, change or reject the order, and must always write down why. These notes will show who is more accurate: the system or the planner.
- A named deputy covers the planner's holidays, so the check is never skipped.

Escalation path: planner → Head of Supply Chain → planning meeting

- **When to escalate:** cocoa stock is expected to fall below 21 days; a supplier's delivery is more than 7 days late; the planner changes the system's suggestion by more than 30% two weeks in a row; or a delivery fails the laboratory test.
- **Within 24 hours,** the Head of Supply Chain decides what to do: speed up the delivery, order from a second approved supplier, or move stock between the old factory and the new one.
- **If the problem is not solved within 48 hours,** it goes to the weekly sales and operations planning (S&OP) meeting with the sales and finance teams. They decide which cocoa products to make first, protect export contracts, and give more production time to flour-based products such as biscuits and waffles.
- This turns the quick switch to Yilpar for packaging into a fixed rule that everyone knows.

Manual fallback: a simple reorder spreadsheet and a weekly stock count

- **When to use it:** the ERP system or the forecasting tool is not working, the data is more than 7 days old, or the forecast has been wrong for 3 weeks in a row.
- **The rule:** order more cocoa when the stock in the warehouse plus the stock already ordered is less than (weekly use × delivery time in weeks) + 2 weeks of extra stock.
- The spreadsheet is updated every month, even when the system works well, and the team practises using it every three months.

- **Going back to the system:** only after it has run in test mode for 4 weeks and done better than the spreadsheet.

How to introduce the change

1. **Weeks 1–8, test mode:** start with one ingredient (cocoa powder) for chocolate biscuits and sweets. The system suggests orders, but the planner still orders in the old way. At the end, both methods are compared using the KPI.
2. **Decision point:** the system is used for real only if its orders would have kept cocoa stock in the target range more often than the old method.
3. **Weeks 9–16, real use:** the planner checks every order. After that, checks follow the rules above, and other cocoa ingredients are added.

Company A (Ferrero) as comparative evidence

Ferrero uses several practices in the same area. For each one, I decide whether Bayan Sulu should transfer it, adapt it, pilot it, delay it or reject it. The biggest difference between the two companies is size. Ferrero is a global company that buys cocoa directly from farms and sells in the EU. Bayan Sulu has about 1,500 employees, buys cocoa products from abroad, and exports mainly to Russia.

Ferrero practice	Decision	Reasons for Bayan Sulu
Special demand planners who work in a regular sales and operations planning (S&OP) meeting	**Transfer**	This is a job role and a meeting, not expensive software, so it is cheap and works for a company of any size. It gives Bayan Sulu the named reviewer and the meeting for the last step of escalation.
The system finds a risk, then people check it before acting (Ferrero's satellite alerts are followed by calls to suppliers and farm visits)	**Transfer**	The idea works directly as the human review point: the system suggests and a named person decides. It also fits Bayan Sulu's food safety culture, where people, not machines, approve ingredients.
Two checks: one before the shipment leaves and one when it arrives; failed shipments are rejected	**Adapt**	Ferrero checks for deforestation. Bayan Sulu should check quality instead: first the supplier's quality certificate before shipping, then its own laboratory test on arrival. The laboratory already exists, so only the first check is new.
A forecasting tool that helps planners (JDA Demand)	**Pilot**	It could help, but we do not know how good Bayan Sulu's data is, and the new factory will change demand patterns. The tool must first prove itself in an 8-week test with one ingredient.
A large, expensive planning system package (SAP + JDA)	**Reject**	It is too expensive and complex for a company of Bayan Sulu's size. The pilot only needs a forecasting tool added to the system Bayan Sulu already has. This can be reviewed again if the pilot works and the current system is not enough.
Satellite monitoring of about 230,000 farms (Starling) and a tracking platform (Sourcemap)	**Delay**	Ferrero does this mainly because of EU rules against deforestation (EUDR). Bayan Sulu sells mostly to Russia and Central Asia and does not work directly with farms. It should consider this again if it starts selling to EU buyers or if large retailers ask for proof.

Sources

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- Forbes Kazakhstan: «Баян Сулу» удерживает лидерство в экспорте

- KFP: Bayan Sulu launches new production complex (Aug 2026)
- Ferrero Careers: Demand Planner (UK)
- Supply Chain Digital: Ferrero deploys satellite tech
- Sourcemap: Ferrero 2025 sustainability report and EUDR screening
- OpenStax, *Introduction to Business 2e*, Chapter 10